catch that gap. You have to do some fundamental work to find out what is going on because you don't want to end up buying a stock that is headed for zero. Volume is just a way of identifying potentially interesting situations.

You talked earlier about advising traders on the need to call people. Can you think of examples where calling people led to information that was useful for trading?

You need to be willing to call people to get information. You need to ask the next question. You never know what you will find out that will be useful. For example, there was a merger deal that had to be approved by the FCC, and nothing was happening. In the meantime, the spread kept widening and widening, and we were getting more concerned about the position. We kept calling the FCC over and over again until one time, by luck, we got the secretary of one of the commissioners, who said, "Oh, that; it's on his desk ready to be signed, but he is away fishing this week."

Another time, we were on the phone with a banker regarding the funding for a deal. I kept asking him a question I knew he couldn't answer. I asked the same question in 10 different ways, knowing full well that he couldn't tell me whether the funding was done or not. After the call, I said, "Sell it now." There were so many things that would have been perfectly reasonable for him to say, but he didn't.

What could he have said?

Well, he couldn't say the funding was done or that it wasn't done, but he could have said that it was a work in progress or that they were confident.

What did he say?

All he said to each question was "I can't answer that question." If you don't make the phone call, if you don't ask the next question, you will never know.

Can you give me an example of a trade that illustrates your process?

A good example is our trade in Fiat in 2003. We made 20 percent in a month on that single transaction. At the time, the broad market was rallying sharply in a rebound from the preceding bear market. Fiat had a